THE UNIVERSITY OF HONG KONG
FACULTY OF BUSINESS AND ECONOMICS

MFIN7055 Hedge Fund and Its Strategy

GENERAL INFORMATION

Instructor: Dr. Leping Wang
Email: LP.Wang@yahoo.com
Office hours: By appointment

Teaching assistant: TBD
Email: TBD
Office hours: By appointment

About the Instructor:
Dr. Wang is the founder and Chief Investment Officer of AGT Capital Limited, specializing in quantitative global macro CTA strategies. He has previously worked in various senior roles at investment banks such as Citigroup and Barclays Bank in Hong Kong and Singapore. Prior to joining the industry, he was an assistant professor in finance at the Singapore Management University, and focused on research areas of asset pricing, derivatives, and financial modelling. Dr. Wang holds a Ph.D. in Finance from the Wharton School of University of Pennsylvania, a M.S. in Statistics from University of Maryland, and a B.S. in Mathematics from Fudan University.

COURSE DESCRIPTION

This course provides an overview of the hedge fund industry and discusses some popular investment strategies used by hedge funds such as equity long/short strategy, FX carry strategy, fixed income arbitrage strategy, CTA strategy, global macro strategy, quantitative strategies, and FOF strategy.

The hedge fund industry has grown rapidly over the last decade, and the private nature of hedge funds allows fund managers to employ innovative investment strategies not available to traditional mutual fund managers. This course examines all aspects of hedge fund strategies including the nature of underlying instruments, the mechanism of trades, the driving ideas, and the risk and return considerations. It will also discuss theoretical and practical issues relating to the research of investment strategies such as return and risk modeling, portfolio diversification, and performance evaluation.

Who Should Take This Course?

- Portfolio managers or fund managers
- Sales or product specialists of private banks and asset management companies
- Gatekeepers of institutional investors

- Professional wealth managers or investment advisors
- Family offices or private individuals investing in financial markets

COURSE OBJECTIVES

1. To provide students with a comprehensive and up-to-date understanding of hedge fund business.
2. To provide students with practical knowledge of popular investment strategies used by hedge funds.
3. To help students develop the skills to evaluate hedge fund strategies, recognize their risk/return profiles, and understand their advantages and disadvantages.
4. To help students in developing the skills necessary for pursuing front-office careers in investment banks, private banks, or asset management firms.

Programme Learning Outcomes

PLO1. Acquisition of advanced techniques and knowledge in interdisciplinary fields that integrate finance with other relevant disciplines, including but not limited to engineering, law, and mathematics.

PLO2. Application and integration of knowledge and skills in finance and relevant interdisciplinary fields to identify and address practical problems, as well as to design innovative products and systems that meet international standards and embody a global vision.

PLO3. Fostering leadership, professional ethics, and competence in finance and related interdisciplinary fields.

PLO4. Mastering effective communication skills.

COURSE LEARNING OUTCOMES

Course Learning Outcomes	**Aligned Programme Learning Outcomes**
Upon successful completion of the course, students are expected to:	
CLO1. Understand the nature of hedge fund business.	PLO1 – 4
CLO2. Analyze the key features, risk, and return of various hedge fund strategies.	PLO1 – 2
CLO3. Assess popular hedge fund strategies and evaluate their performances.	PLO1 – 2
CLO4. Understand how hedge funds create value for investors.	PLO1 – 4

COURSE TEACHING AND LEARNING ACTIVITIES

Course Teaching and Learning Activities	**Expected contact hour**	**Study Load (% of study)**
T&L1. Lectures	30 hours	23.81%
T&L2. Projects	36 hours	28.57%
T&L3. Tutorials	12 hours	9.52%
T&L4. Self-study	48 hours	38.10%
Total	126 hours	100%

Assessment Methods	Brief Description	Weight	Aligned Course Learning Outcomes
A1. Class attendance and participation	Students are expected to actively contribute to in-class discussions.	10%	CLO1 – 4
A2. Group project	The group project will be evaluated for its write-up and in-class presentation with half of the points accounted for each part.	30%	CLO2 – 3
A3. Final exam	There will be a closed-book final exam to assess your understanding of the course materials. It will consist of MCQs and short questions. Make-up exams will be allowed only for legitimate reasons with supporting evidence.	60%	CLO1 – 4
	Total	100%	

STANDARDS FOR ASSESSMENT

Course Grade Descriptors

A+, A, A-	1) All aspects have been thoroughly researched and addressed in depth. 2) Demonstrates a strong understanding of relevant theories, concepts, and issues related to the topic. 3) Effectively identifies the most critical elements of the task and adopts a critical perspective. 4) Presents a well-developed argument that is logically consistent, offering insightful analysis of the subject. 5) Engages with a wide range of academic literature and other sources, maintaining relevance throughout. 6) All elements adhere to high academic and professional standards. 7) Has consistently demonstrated a thorough grasp of the subject as evidenced by original or exceptionally astute analysis and synthesis.
B+, B, B-	1) Most aspects have been thoroughly researched and addressed. 2) Demonstrates a good understanding of relevant theories and issues, with some application to the topic. 3) Effectively identifies some elements of the task and adopts a critical perspective. 4) Provides some evidence of analysis, supported by logical arguments and insights into the subject. 5) Engages with relevant academic literature and other materials. 6) Most aspects adhere to high academic and professional standards. 7) Has frequently demonstrated a substantial grasp of the subject.

C+, C, C-	1) Most aspects have been adequately addressed and researched. 2) Demonstrates a good understanding of the theories, concepts, and issues related to the topic, though application is somewhat limited. 3) Presents some arguments that show insight, but consistency and logical flow can be improved. 4) Utilizes an adequate range of academic and other materials. 5) Most aspects meet acceptable academic and professional standards. 6) Some of the responses are organized but are unclear and lack sufficient elaborations.
D	1) Basic aspects have been adequately addressed and researched. 2) Demonstrates a basic understanding of the topic with little application. 3) Limited evidence of analysis, lacking a clear and logical argument related to the subject. 4) Draws primarily from course materials. 5) Few aspects meet academic and professional standards. 6) Solutions to questions and problems contain unstructured but relevant observations.
F	1) Demonstrates a limited understanding of the topic, with conclusions that are unrelated to it. 2) The work does not meet academic or professional standards. 3) Has shown little evidence of basic familiarity with the subject.

COURSE CONTENT AND TENTATIVE TEACHING SCHEDULE

Topic 1: Introduction to hedge funds

Topic 2: Return, risk and diversification

Topic 3: Equity long/short strategy

Topic 4: CTA strategy

Topic 5: FX strategy and Fixed income arbitrage strategy

Topic 6: Global macro, systematic, and FOF strategy

Topic 7: Rebalancing for principal protection

Topic 8: Investing in hedge funds

RECOMMENDED READINGS

The textbook is not required but is highly recommended. The final exam will focus solely on the lecture notes; however, reading the relevant chapters in the textbook will deepen your understanding of the course material and enhance your knowledge and skills regarding hedge funds.

- Handbook of Hedge Funds, by Francois-Serge Lhabitant

MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE

- o Conducting mid-term survey in addition to SETL around the end of the semester
- o Online response via Moodle site
- ✓ Others: SETL